Housing Decision Analysis

Option A: Trailer → Permanent Home vs Option B: Buy Now → Rent → Buy Again

Muscle Shoals, AL | 15-Year Horizon | 1,000 Monte Carlo Paths | Generated April 09, 2026

Simulation Parameters

Parameter	Option A	Option B
Simulation length	180 months (15 yrs)	← same
Monte Carlo runs	1,000	← same
Monthly income	$5,100	← same
Starting cash	$22,000	← same
Phase 1 upfront cost	$4,000 (fixup)	$8,372 (buy house)
Phase 1 monthly gas	$600/mo	$300/mo
Phase 1 ends	Month 24	Month 36
Phase 2 home price	$200,000	$200,000
Phase 2 mortgage	$1264.07/mo	$1197.54/mo
Phase 2 upfront	$18,000	$28,000
Rental income (B only)	None	$800–$1000/mo from Mo 36
Vacancy rate (B only)	N/A	8%
Passive income goal	N/A	$500/mo
Home appreciation	3.0%/yr	← same
Expense inflation	3.0%/yr	← same
HYSA return	4.5%/yr	← same
Time value of commute	$560/mo	← same

Key Results Summary

Metric	Option A	Option B	Winner
Mean net worth — Month 180 (no time value)	$458,341	$667,416	**B**
Mean net worth — Month 180 (with time value)	$315,356	$667,385	**B**
10th pct net worth (no TV)	$455,550	$660,648	**B**
90th pct net worth (no TV)	$461,145	$674,105	**B**
Break-even month (median, no TV)	—	Month 25	—
% paths B wins (no TV)	—	100%	—
Break-even month (median, with TV)	—	Month 4	—
% paths B wins (with TV)	—	100%	—
% paths hit $500/mo passive income	N/A	61%	—
Median month goal achieved	N/A	Month 163	—
House 1 equity at final month (B)	—	$83,103	**B**
House 2 equity at final month (B)	—	$138,305	**B**
Total rental income earned (mean)	—	$143,227	**B**
Total upfront costs (lifecycle)	$22,000	$36,372	—

Milestone Snapshots

Milestone	A Net Worth	B Net Worth	B Total Equity	B Passive Income
Year 5 (Mo 60)	$163,157	$184,843	$60,683	$124/mo
Year 10 (Mo 120)	$308,531	$410,127	$132,718	$257/mo
Year 15 (Mo 180)	$458,341	$667,416	$221,408	$407/mo

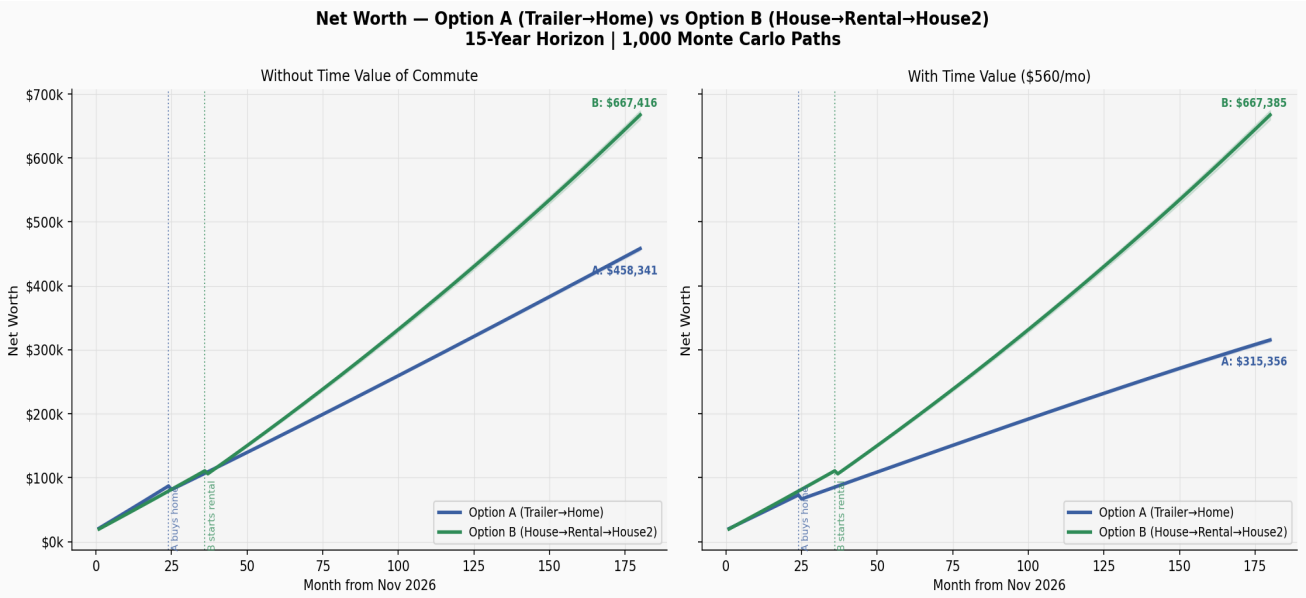

Chart 1: Net Worth — 15-year horizon. Option A (trailer→home) vs Option B (buy→rent→buy). Shaded bands show P10–P90 Monte Carlo uncertainty. Phase transition lines shown.

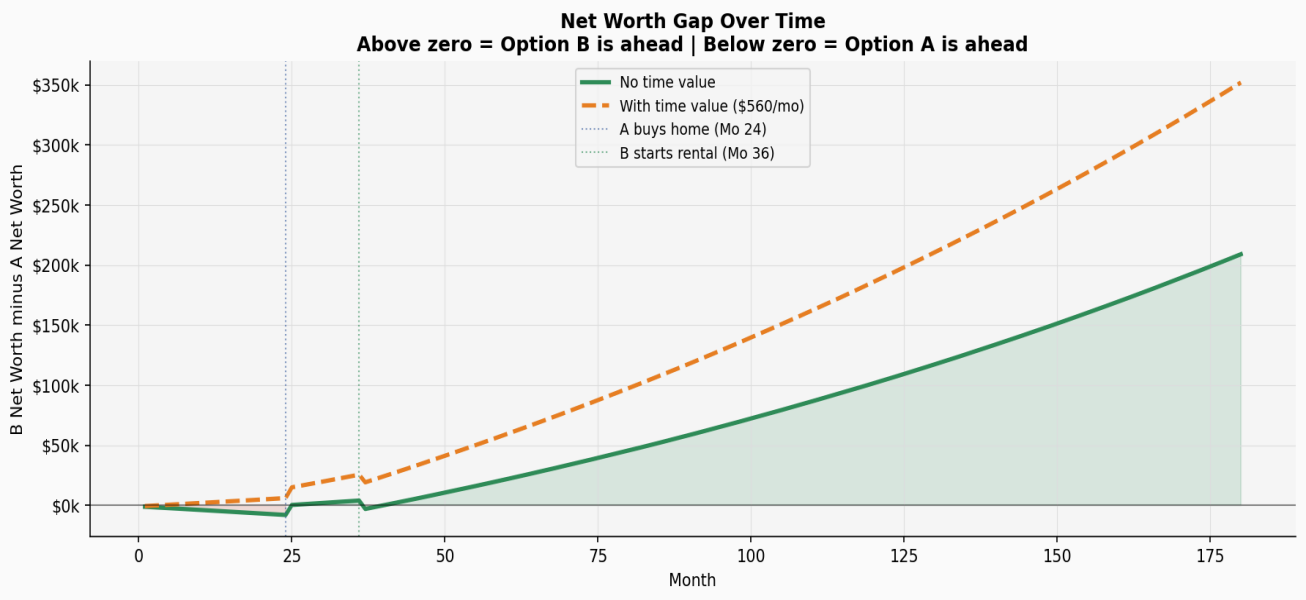

Chart 2: Net Worth Gap (B minus A). Above zero = Option B is ahead. Shows when and by how much each option leads.

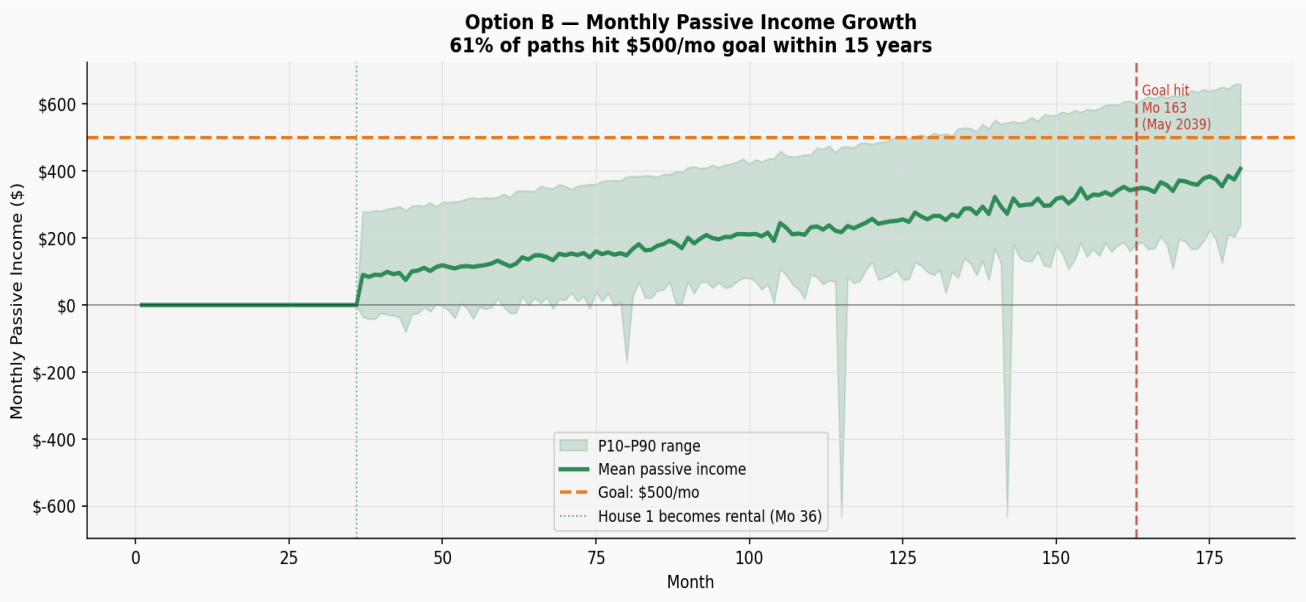

Chart 3: Option B monthly passive income growth. Goal line at $500/mo. 61% of simulation paths achieve this within 15 years.

Chart 4: Equity comparison. Option A builds equity in one home; Option B builds stacked equity across two properties.

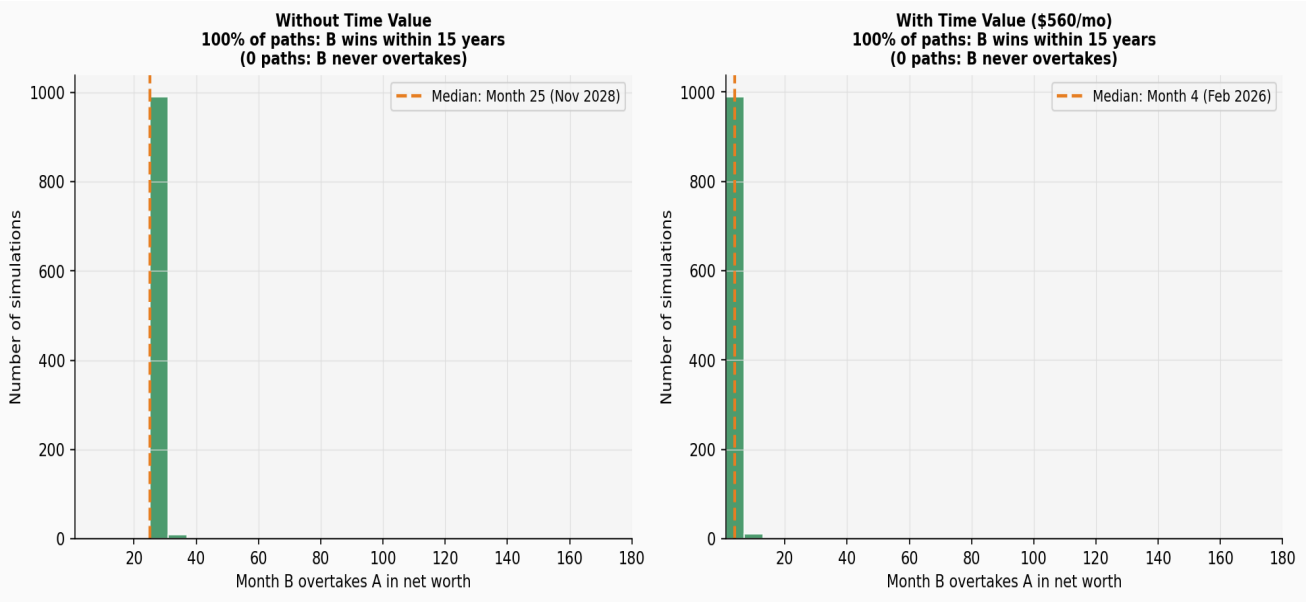

Chart 5: Break-even distribution — month B net worth first exceeds A for 3+ months.

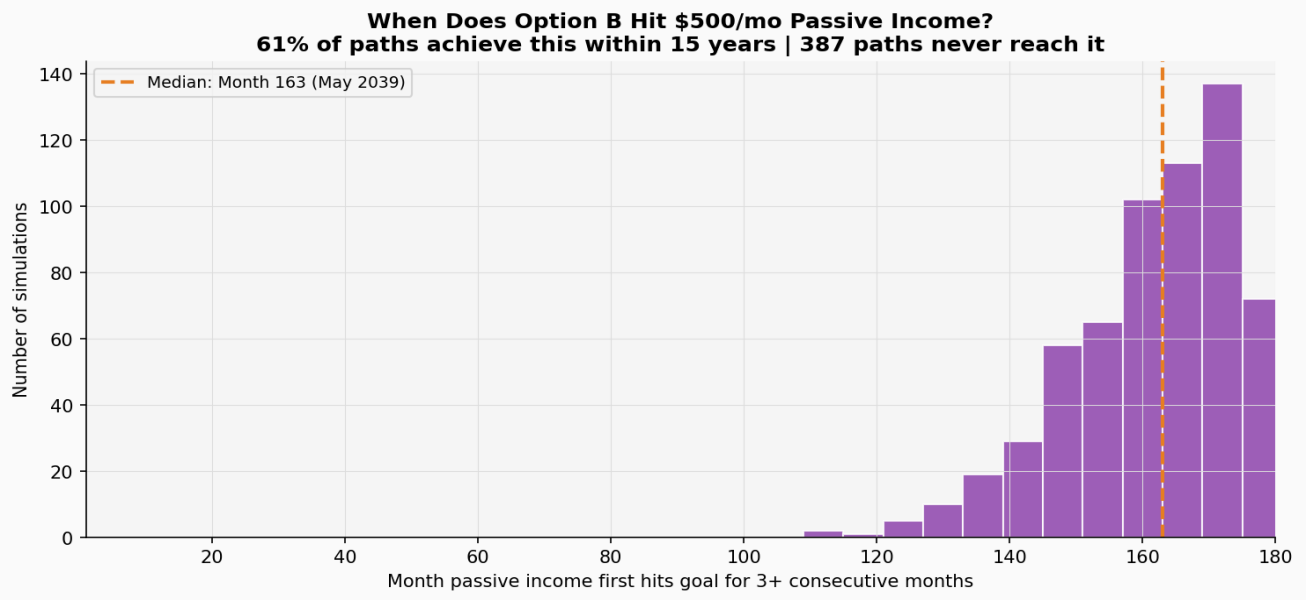

Chart 6: Goal achievement distribution — month Option B first sustains $500/mo passive income.

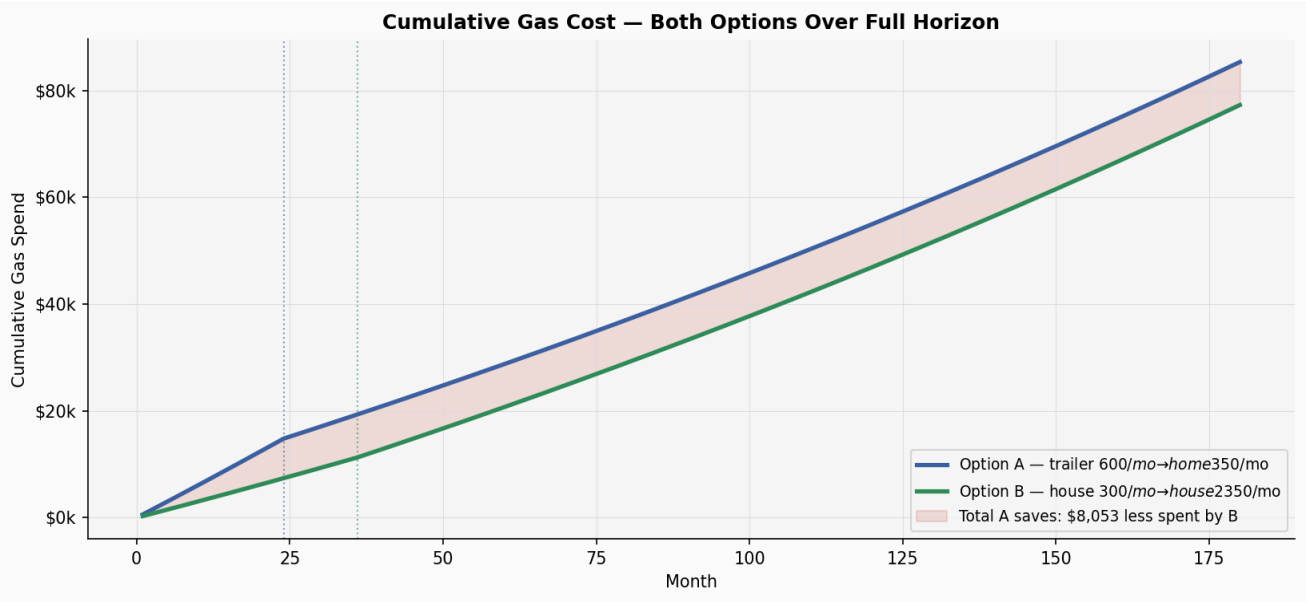

Chart 7: Cumulative gas costs. Both options transition gas rates at their respective move-out months.

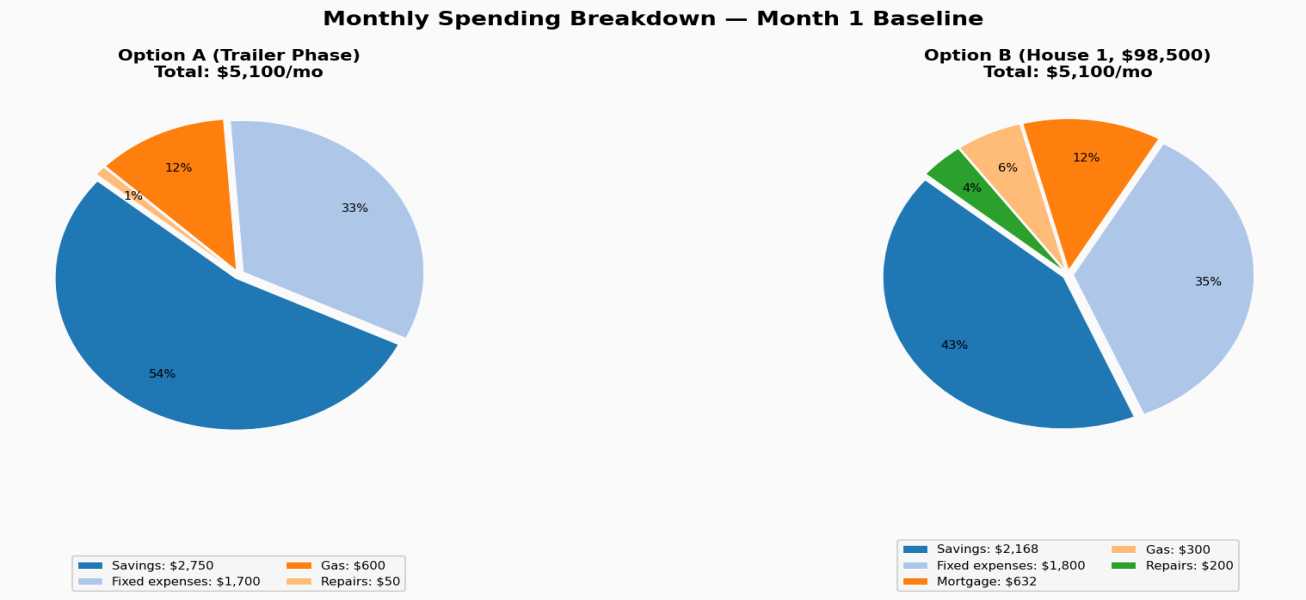

Chart 8: Monthly spending breakdown at Month 1 baseline using actual config values.

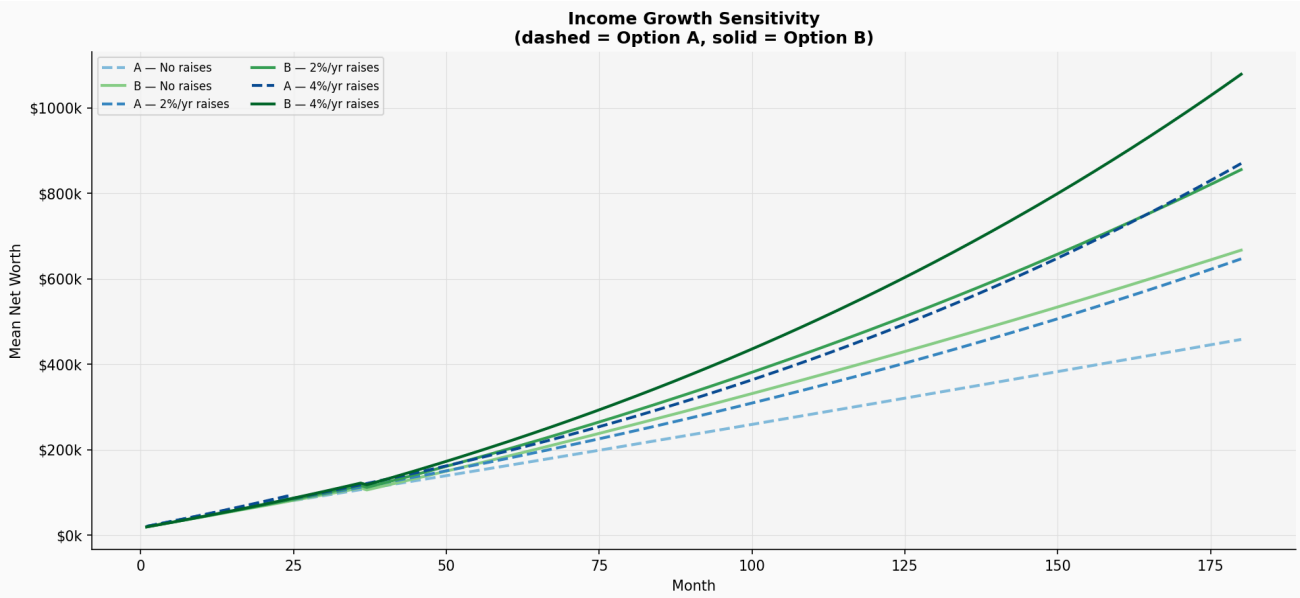

Chart 9: Income growth sensitivity — net worth across three raise scenarios.

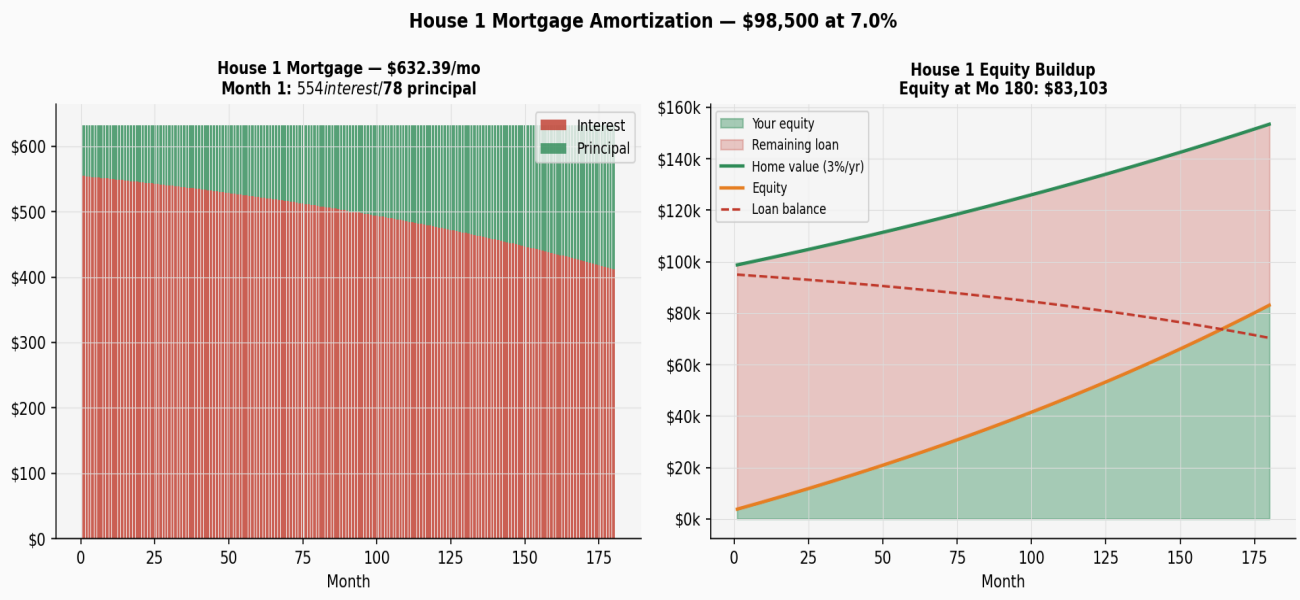

Chart 10: House 1 mortgage amortization. $98,500 at 7.0% — interest/principal split and equity growth.

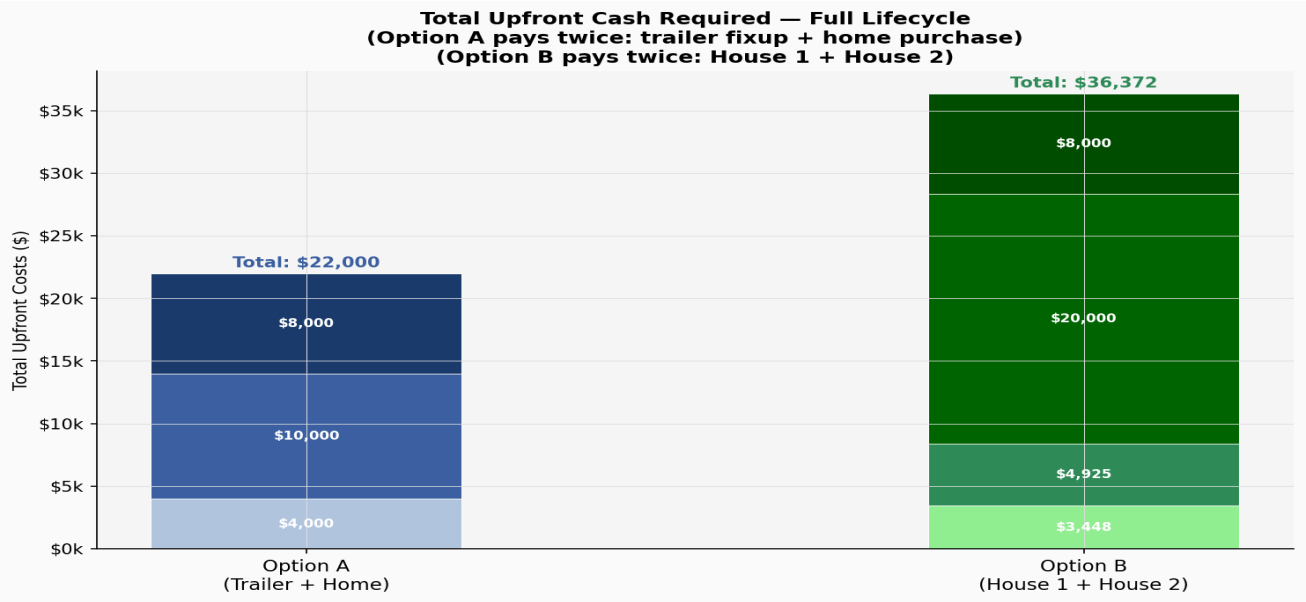

Chart 11: Total lifecycle upfront costs. Both options pay twice — Option A pays for trailer fixup then permanent home; Option B pays for House 1 then House 2.

Analyst Verdict

At 15 years, Option B leads by $209,075 in the base scenario (no time value). With $560/mo commute time value included, Option B leads by $352,029.

Option B achieves the $500/mo passive income goal in 61% of simulation paths, with a median achievement month of 163 (May 2039).

Key risks to monitor:

- Option B cash after House 1 closing: $13,628. Repair spikes in year 1–2 are the primary short-term risk.
- Option A makes two separate purchases totaling $22,000 in upfront costs. Option B also pays twice but the second payment (House 2) is partially funded by rental income.
- Vacancy risk on House 1 rental modeled at 8%. Good tenant screening is worth the time.
- If income drops significantly, Option A's lower early fixed costs (trailer phase) provide more breathing room.